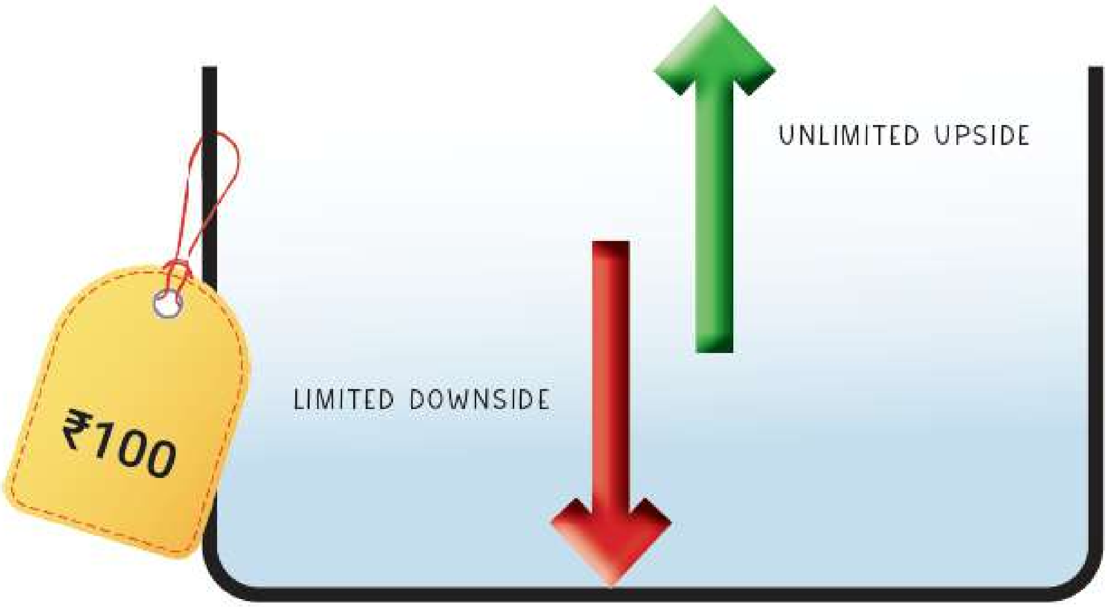
In case of expected turbulence in the market, it is not possible to sell so many shares at once. In such a scenario, the protective put strategy comes in handy to insure the shareholder against any downside while enjoying the profits. And if the price of the share does not fall, the premium will be the limited loss for the shareholder.



Essentially, the downside stays limited. The upside potential stays unlimited. And the cost is the premium paid. These features are like that of a call option and therefore, the name synthetic call. This protects our long-term portfolio. We can use it for trading purposes as well.

WE MAY BE LONG ON FUTURES + LONG ON PUT OPTIONS, THIS WOULD GIVE US UNLIMITED PROFIT POTENTIAL FOR A PARTICULAR PERIOD OF TIME TOO.